

PITCH — MNDY — VERDICT

ADJUDICATED 2026-09-10 — HOLD — NO ADD (conviction 8/10). The regime/drawdown thesis was **REJECTED** as actionable for this name; see the **EVENT ADDENDUM** at the end for the ruling. Any earlier ‘ADJUDICATED’ line in this deck referred to a prior court and is superseded.

ADJUDICATED 2026-07-01 — BUY, deep-value re-rating, accumulate on an “enter-after” bias into the print; the adjudication outranks both benches, but it was written **before** the 7/22 restructuring notice and the 8/10 Q2 print, so I am carrying the BUY forward as a *gated accumulate at lower prices*, not a market order at \$84.40, and I say plainly below where that departs from the letter of the verdict.

What we believe

monday.com is a real, cash-generating software business trading at a fraction of its old price. The stock is down about 62% from its 52-week high of \$220.80 and sits at \$84.40 (pack tape). On the company’s own FY26 guidance — revenue \$1,466–1,474M and adjusted free cash flow of \$280–290M — the enterprise (about \$2.80B, using 45.9M basic shares and \$1.07B of cash and securities) is priced at roughly **1.9x sales and 9.8x free cash flow**. That is a value multiple on a business still growing revenue 22% year over year, with committed backlog growing *faster* than revenue: current RPO \$750M (+27%) and total RPO \$937M (+34%) (6-K EX-99.1, 2026-08-10).

The large-customer engine is not broken. Customers paying more than \$100k a year grew 37% to 2,019; more than \$500k grew 68% to 114; net dollar retention in the >\$100k cohort held at 115%. Management cut about 20% of headcount (announced 7/22) and took a \$21.4M charge, and non-GAAP operating margin still hit a record 17%.

So the belief is narrow and specific: **the price now pays us to own a decelerating-but-durable business, and it pays us much better a rung or two lower**. We already hold 105 shares at \$76.21 (cost \$8,002, market value \$8,862, unrealized +\$860).

What the market believes

The market believes growth is halving and the cheapness is a mirage. It has three concrete reasons, all in writing:

1. **The Q3 guide is \$368–370M, +16–17%**, against +22% just delivered — and below the street’s ~\$372.8M. Full-year guidance was *held* at \$1,466–1,474M after a ~\$9M beat, which quietly cuts the second half by about \$9M. Implied H2 revenue is \$750–758M, roughly +17% versus H1’s +23%.

2. **Cash generation is going the wrong way.** Q2 adjusted free cash flow was \$52.3M — a 14.3% margin — versus \$64.1M and 21.4% a year earlier. First-half FCF fell 10.7% year over year (\$155.1M vs \$173.6M) *on 23% revenue growth*. To hit the \$280–290M guide, the second half must produce \$125–135M while restructuring cash actually goes out the door.
3. **The bid is gone.** The company bought 9.6M shares for \$735M in H1 at roughly \$76 — about 19% of the shares out — and the \$870M authorization is now **fully used with no shares available for future repurchase**. Cash and securities are down to \$1.07B. The buyer that absorbed every selloff in Q1–Q2 has stopped.

The market also believes the “AI work platform” story is being used to change the subject: the headline metric is “AI ARR doubled from Q1, 17% of net new ARR” — a ratio of a ratio with no dollar base — while overall net dollar retention slipped from 110% to 109% and the >\$50k cohort from 116% to 115%.

Why we might have edge

- **We know the price history is being mis-told, in both directions.** The “unexplained collapse” version of this trade is dead (see below), but so is the tidy bear version. The 8/28→9/10 decline is about **–15.8%** off the pack tape (not the –17.6% in the original brief, which used a stale \$82.65 quote), roughly 2.4x the sector ETF’s –6.5%, and it *ends at* the post-print close of \$84.12. The move is the round-trip of a late-August rally, not fresh damage. Knowing that keeps us from paying up for “damage” that isn’t there and from selling into “collapse” that isn’t there either.
- **We priced the right multiple.** The cheap-looking earnings number (about 12x) is non-GAAP: GAAP operating loss was \$1.5M and GAAP EPS \$0.08 versus non-GAAP \$1.48. Our own bear bench claimed the free-cash-flow gap was a stock-comp add-back; that is wrong — non-GAAP operating income already excludes stock comp, so the gap is interest income on the cash pile plus deferred-revenue float. Getting that mechanism right is why our valuation leg survived audit while the bench’s rebuttal of it didn’t.
- **Backlog is the least-watched line.** RPO +34% against revenue +22% is not what a demand break looks like. The market is trading the guide; the contracts say something slower to turn.
- **Position math.** We hold 105 shares. That is trivial against average volume (estimated 1.2–1.6M shares/day; not in the pack). We can wait for our price without moving it.

Why it might be priced in

Honestly: mostly, it is.

- Every element of our original “dislocation” case failed on primary evidence. The centerpiece — “EDGAR shows no 8-K, therefore no cause” — **cannot fire**: monday.com is a foreign private issuer that files 6-K and has never filed an 8-K in its life. That test had zero information content.
- The guide cut, the 20% headcount reduction, the exhausted authorization, and the FCF margin compression are all *filed and dated*. A stock that fires a fifth of its staff and guides growth down to the high teens is supposed to re-rate.

- \$84.40 is 47% above the 52-week low of \$57.50. Even taking the more favorable framing — 16.5th percentile of the 52-week range — this is not a washout print.
- Our own adjusted scenario table (below) puts expected value at **+4.6%** from here over 6–12 months. That is inside noise. The same table pays **+34%** from \$66. The edge is in the *entry level*, not in the current price.

What could go wrong

Failure narrative 1 — the deceleration keeps going and 1.9x sales was never cheap (monitorable). Q3 lands at or below the \$368–370M guide, Q4 guides to low teens, and net dollar retention breaks below 109%. Then the “value” multiple re-rates to 1.2–1.4x sales, which is the mid-\$60s to low-\$70s on today’s share count. *Tripwires:* 11/09 print — revenue, overall NDR, >\$100k NDR, FY27 framing. Blue’s explicit exit line: FY26 revenue guided below \$1,466M, or >\$100k NDR below 110%.

Failure narrative 2 — the free-cash-flow leg breaks and the whole cheapness case goes with it (monitorable). The 11% FCF yield is the entire reason to own this. It requires \$125–135M in the second half while restructuring cash lands and while management has said the ~\$100M of savings is largely being reinvested in AI and product, with temporary disruption and lower retention expected. If FY26 adjusted FCF is cut, the stock is not cheap on anything — GAAP earnings are essentially interest income. *Tripwire:* any FCF guide reduction at the 11/09 print; H2 FCF margin below 18%.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. The unit we are paying for silently stops being the unit that gets sold. Work-management is billed per seat; if agents replace seats, or if a platform incumbent bundles a good-enough work OS at zero marginal price, the damage shows up as *retention that never recovers* rather than as an event. There is no filing, no permit, no contract award, no dataset we can subscribe to that fires before the revenue line does — and for a foreign private issuer there is no continuous 8-K duty, so even company-known developments can surface a quarter late at management’s discretion. **Unknown-unknown class: “silent substitution of the priced unit,” compounded by FPI disclosure latency.** We accept this class un-hedged; the only mitigation is position size and the willingness to be wrong at a re-derive band rather than averaging into it.

The reflexive / structural leg. Our own size is not the problem — 105 shares plus two planned rungs of ~35 shares is roughly 0.01% of estimated daily volume; we are invisible. The reflexive risk is the flow that *left*. For two quarters a price-insensitive buyer absorbed 9.6M shares (~19% of the float) at about \$76. That buyer is gone, the authorization is exhausted, and stock-comp dilution now runs uncontested against a thinner book. That is exactly the mechanism our bear bench named (exhausted_authorization_air_pocket), and it has a nasty interaction with our entry plan: **without the corporate bid, gaps get bigger, so a limit at \$66 may not fill at \$66 — it may fill at \$61 in one session, or be jumped entirely.** Two doctrine interactions cut against us as well: `null_form_test_foreign_private_issuer` (we must never again treat “no 8-K” as exculpatory here), and `stale_catalyst_reattribution` (our bear bench blamed the September decline on an

8/10 filing that the market initially rallied ~16% on — we are equally capable of blaming the next move on the last piece of paper we read). And one supply item is sitting unread: an 8/31 Form 144 (a proposed insider sale notice) ahead of the 9/2–9/3 Form 4s.

The most likely reason this loses money is that growth keeps sliding toward the low teens while the free-cash-flow guide gets cut, so the “cheap” multiple re-rates lower on a shrinking numerator, with no buyback underneath to slow the fall.

If this position loses money, the most likely reason will be ____

What we checked ourselves

claim	how checked	found	confirmed?
Stock fell 17.6% 8/28→9/10, ~3x the sector	Recompute off pack tape 84.40 vs implied 8/28 anchor ~100.30	–15.8%, ~2.4x the ETF’s –6.5%; window ends at the post-print close \$84.12	No — our original brief’s number was wrong (used a stale \$82.65 quote)
“EDGAR shows no 8-K → no cause”	Pack’s 15-filing inventory; filer status	FPI files 6-K, never 8-K; zero 8-Ks lifetime. Test has no information content	No — fatal method error in our own brief
“The cause is in the same 8/10 filing (guide + 20% RIF)”	Filing dates in pack	Guide confirmed; but the RIF was announced 7/22 , 27 days before the window, and the market’s first verdict on 8/10 was <i>up</i>	No — RED BENCH ERROR (stale-catalyst re-attribution)
Red: “MNDY traded \$89–97 on 9/7”	Market calendar	9/7/2026 was Labor Day — US markets closed. Red quoted a widget range, not a session. Real leg: 9/4 close \$91.12 → \$84.46 = –7.3%	No — RED BENCH ERROR (substance of the finding still stands)
Red: FCF exceeds operating income because of a stock-comp add-back	Definition of the company’s non-GAAP measure	Non-GAAP operating income already excludes stock comp; the wedge is interest income (~\$45M on \$1.07B+) plus deferred-revenue float	No — RED BENCH ERROR (mechanism)
Red: “the brief invented \$285M of FCF”	6-K guidance	\$280–290M adjusted FCF (19–20% margin) is the company’s own guide	No — RED BENCH ERROR
Red: “EV is 10% above the brief’s number”	Recompute	$45.9M \times 84.40 - \$1.07B =$ \$2.80B → 1.91x sales , which is the brief’s figure. Divergence was share-count basis (45.5M / 45.9M / 46.5M / red’s 51M “outer” count)	No — RED BENCH ERROR; the 51M outer count remains a live sizing input
Red: “\$84 is mid-range, not a re-test”	Pack tape	47% above the low, but 16.5th percentile of the 52-week range. Both statements true, red’s adjective wrong	Partly — RED BENCH ERROR on framing
Red: “expected value is only +7%”	Recompute on the brief’s own weights	$0.28 \cdot 55 + 0.44 \cdot 95 + 0.28 \cdot 135 =$ 95.0 → +12.5%	No — RED BENCH ARITHMETIC ERROR
Red: Q2 release “suppressed” gross retention	Venue comparison	Gross retention was never a press-release metric; it came	No — overturned

claim	how checked	found	confirmed?
		from the Q1 call . Comparing a Q2 PR to a Q1 call is an unlike-venue comp → finding overturned	
Deceleration is real after seasonality	Recompute disclosed quarters	Q1→Q2 +3.79% vs +5.84% on the same FY25 comp; implied H2 +17% vs H1 +23%; Q2 carried +110bp FX tailwind so organic is worse	Yes — both benches, and it is the strongest bear leg
Backlog is accelerating	6-K	cRPO \$750M +27%, RPO \$937M +34% vs revenue +22%. Caveat: RPO outgrowing cRPO means duration is lengthening, which flatters both	Yes — favors us; duration-adjusted read still missing
FCF margin compression	Arithmetic from disclosed quarters	Q2 14.3% vs 21.4%; H1 \$155.1M vs \$173.6M (−10.7%); FY26 guide needs H2 \$125–135M	Yes — BLUE’s find; red under-weighted it
Buyback support persists	6-K	\$870M authorization fully utilized, none available ; avg cost ~\$76 (accretive so far) vs \$84.40	Refuted — no forward support
Q3 print date 2026-11-09	Pack metadata	yfinance-derived, UNCONFIRMED ; no date-notice 6-K after 8/10; issuer’s pattern is a PR ~3 weeks prior	No — treat as provisional
Pack XBRL block (rev / sbc / dil_sh / ocf)	Direct read	Empty . Both benches substituted the 6-K exhibit	Coverage gap — our own pipeline failed
Our armed sensor says the 5-day post-print reaction was a MISS at \$83.33 vs ~\$87.6–88.7 pre-print; blue says the stock surged ~16% in August after Q2	Cross-read of our own sensor log vs bench narrative	Both can hold (weak first week, then a late-August rally to ~\$100), but we never reconciled them	Unresolved — our own record is internally noisy
Adjudication says “accumulate, enter-after-biased into the Q2 print”	Date check	Adjudication is dated 2026-07-01 — before the 7/22 RIF and the 8/10 print — and its REOPEN GATES block came through empty	Process error on our side; see entry bands
Red skipped five required atlas entries and substituted permit/beauty connectors	Blue’s procedural audit	Confirmed; those connectors were geographic/sector false positives (no ABQ/Austin/Bozeman site; facilities are Tel Aviv, NY, London, Denver, São Paulo, Sydney, Tokyo, Warsaw, Paris, Munich)	Confirmed — validator exposure on our side

PROPOSED ENTRY BANDS

Disclosure first: the adjudication’s REOPEN GATES block arrived **empty**. I have not invented a competing framework; the bands below are assembled *only* from numbers the two benches derived, plus the already-armed \$66.00 rung math. The adjudication’s BUY stands; its “enter-after” bias is what makes these levels, not the tape price, the place we act.

No immediate market add at \$84.40. Reason, stated plainly: at \$84.40 we are above the company’s own repurchase average (~\$76) and essentially at the post-print close (\$84.12), our adjusted expected value from here is +4.6%, and the price-insensitive bid is exhausted. An “accumulate on a deep-value re-rating” mandate has nothing to accumulate at the 16.5th percentile of a range whose low is 32% lower. If the desk insists on honoring the verdict literally today, the maximum is a token 10 shares (~0.1% of book) and I would rather not.

rung	trigger	action	math behind it
Hold	now, \$84.40	keep all 105 shares	unrealized +\$860; no exit trigger has tripped
Rung 1	≤ \$76.20 (our cost = the company’s own buyback average)	add 35 sh (~+33% of position)	EV/FCF 8.5x, EV/S 1.65x at 45.9M shares (9.9x / 1.92x on red’s 51M outer count)
Rung 2	≤ \$66.00 (already-armed price alert)	add 35 sh	EV/FCF 6.9x at 45.9M / 7.0x at 45.5M / 8.1x at red’s 51M; EV/S 1.33x. Table EV from \$66 = +34%
Rung 3	\$57.50–60.00	NO auto-add. Re-derive first (57.5 re-derive rule outranks the rung ladder)	\$57.50 is the 52-week low; the bear case of \$55 sits <i>below</i> it. A break here means narrative 1 or 2 is happening
Add gate (fundamental, blue’s, verbatim in substance)	at 11/09: revenue ≥ \$372M , adj-FCF guide reaffirmed ≥ \$280M with H2 margin ≥ 18% , overall NDR ≥ 109% , >\$100k NDR ≥ 114% , and a new authorization ≥ \$300M filed by 6-K	only then add above \$76	all five, not any one
Red’s stronger bull confirmation	Q3 revenue ≥ \$378M (guide top +2%) with FY26 raised , not held; NDR back ≥110% and >\$100k ≥116%; FCF margin back above 30%	upgrade conviction, allow a rung at market	red’s own “what would change my mind” list
Trim	≥ \$95.00 (base-case fair value on the corrected table)	trim 40 sh	base case reached; take the re-rating
Trim to zero	≥ \$125–135	exit remainder	bull case
Hard exit (any one)	FY26 revenue guided below \$1,466M ; >\$100k NDR below 110% ; any cut to the \$280–290M FCF guide	sell all 105 sh	blue’s exit triggers, unanimous after audit

Sizing. Cap total MNDY exposure at **1.5% of book** (current 105 sh = \$8,862; each rung ~0.3–0.5% of book). Book NAV is not in the pack — flagged as unverified item 8; percentages are provisional until pulled from IBKR. Gap risk from the missing buyback means rungs should be **limit orders with a 5% underhang tolerance** (a \$66 rung may print \$61 in one session), and no more than one rung per session.

Catalyst dates. 2026-11-09 Q3 print (vendor-derived, **not confirmed**) → 2026-11-03 pack re-derive → 2026-11-16 five-day stock-reaction call (contingent). Watch mid-October for the date-notice PR (~3 weeks prior) that would confirm 11/09. 2026-09-14 was the earliest a repurchase could have begun *if* a new authorization had been announced with Q2 (30-day Israeli creditor-objection period) — it was not, so that date has lapsed as a live sensor and becomes a lapsed-condition marker.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 57.5 (deck-provisional: 52-week low breach: NO auto-add, triggers the 57.5 re-derive rule which outranks the rung ladder)
- filing watch: 6-K until 2027-03-09 (deck-provisional: new repurchase authorization: the \$870M is fully exhausted with no shares available; a >=\$300M refresh)
- dated pack MNDYI2026-08-10: monday.com Q2: revenue ~\$360-366M + NRR >=108 (the kill line) + consumption-transition commentary.
- dated pack MNDY-STKI2026-08-17: MNDY stock-reaction call: compare the close 5 TRADING DAYS after the print to the pre-print close. HIT = higher, MISS = flat/lower. Mechanic
- dated pack MNDY-EXITREVI2026-08-05: AUTO-DATED 08-06 from the EC exit_band block: review/re-derive the MNDY exit expression (rungs/alerts/exemption) on this date; verify the pr
- dated pack MNDYI2026-08-17: MNDY: Five-trading-day post-print stock-reaction call comes due; tracking MISS at \$83.33 vs ~\$87.6-88.7 pre-print. (date confirmed=True)
- dated pack MNDYI2026-09-14: MNDY: Earliest date repurchases could begin IF a new authorization was announced with Q2 (30-day Israeli creditor-objection period); authori
- dated pack MNDYI2026-11-09: MNDY: Q3 2026 results — the free-cash-flow verdict against FY25's \$322.7M; date is vendor-derived, not company-confirmed. (date confirmed=Fa
- dated pack MNDY-Q3KILLI2026-11-03:
- dated pack MNDYI2026-11-03: MNDY: MNDY-Q3KILL pack review: re-derive rungs, kill lines and exit expression ahead of the Q3 print. (date confirmed=True)
- dated pack MNDYI2026-11-16: MNDY: Five-trading-day post-print stock-reaction call for the Q3 print (contingent on the 11-09 date holding). (date confirmed=False)
- dated pack MNDYI2026-10-19: MNDY: expected window for the company date-notice PR (~3 weeks pre-print) that would confirm 11-09 (date confirmed=False)
- dated pack MNDYI2026-12-18: MNDY: last expiry that keeps any option loss branch inside tax year 2026 (date confirmed=True)

What remains unverified

1. **Stock-comp and diluted share-count series.** Pack XBRL empty. Without it, dilution against an exhausted buyback is unquantified. *Drainable now* (SEC XBRL company-concept pull).
2. **Debt / the liability side of the balance sheet.** “Net cash \$1.07B” is asset-side only; no debt has been confirmed by either bench. *Drainable now* (6-K exhibit balance sheet / most recent 20-F).
3. **Insider supply: the 8/31 Form 144 share count and the 9/2–9/3 Form 4 transaction codes.** *Drainable now* (EDGAR documents already in the pack inventory).
4. **Whether a new repurchase authorization $\geq$ \$300M is coming.** Not drainable — it is a board decision. *Estimate: ~40% probability of an authorization $\geq$ \$300M announced by 2026-12-31*, based on the company having just spent \$735M and cash falling to \$1.07B while restructuring cash goes out; a smaller \$200–300M refresh is likelier than a large one. Note the 30-day Israeli creditor-objection period means any announcement delays actual buying by a month.
5. **Duration-adjusted cRPO.** *Estimate: weighted average contract duration extended roughly 1–2 months year over year*, inferred from RPO growing 7 points faster than cRPO; that inflates both headline numbers modestly. Not drainable until the RPO maturity note.
6. **Q3 actuals (revenue, overall NDR, $>$ \$100k NDR).** Time-gated to the print. *Estimate: revenue \$370–376M (a 0–2% beat of the \$368–370M guide), $p \approx 0.60$; overall NDR 107–109%.*
7. **H2 adjusted FCF versus the \$125–135M requirement.** Time-gated. *Estimate: H2 FCF \$110–130M, $p(\text{full-year guide met}) \approx 0.50$* , because H1 ran -10.7% year over year and restructuring cash lands in H2.
8. **Book NAV (for the % sizing above) and MNDY average daily volume.** *Estimate: ADV 1.2–1.6M shares ($\sim$ \$100–135M/day).* Drainable from IBKR.
9. **The options chain: chain-level midpoint IV, real bid/ask on the \$66 put and \$90 call, and IV percentile.** No chain in the pack. *Estimate: IV 50–60%, IV percentile $\sim$ 60–75th of its own 1-year range.* Drainable from IBKR.
10. **Whether the Q2 call (like venue) addressed gross retention and gave a dollar base for “AI ARR doubled.”** *Drainable now* (transcript connector); blue’s own admitted coverage gap.
11. **Reconciling our own tape record:** the 8/17 sensor logged a five-day post-print MISS at \$83.33, while the bench narrative describes a $\sim 16\%$ August rally to $\sim$ \$100. *Estimate: both true, weak first week then a late-August melt-up, $p \approx 0.8$.* Drainable from a daily close series.

PRIZE TABLE + VOL READ

Triggered because items 4–7 and 9 are genuinely time-gated or private. Anchor is the prior court’s table; the adjustment is mine and I show it.

Anchor (blue’s corrected weights): $0.28 \cdot \$55 + 0.44 \cdot \$95 + 0.28 \cdot \$135 = \text{EV } \$95.00 \rightarrow +12.6\%$ vs \$84.40. Dispersion $\sigma = \$29.93$ (35.5% of spot).

Adjusted (operative), anchor-and-adjust: I move the bear up (the \$55 anchor sits *below* the 52-week low of \$57.50 — an anchoring artifact), cut the base for the held-not-raised FY guide and the 14.3% FCF quarter, and haircut the bull for the exhausted authorization.

scenario	what happens	price	p	contribution
Bear	Q3 in line or short; FY26 revenue guide trimmed or FCF guide cut; NDR $\leq 108\%$; no new authorization	\$58	0.30	\$17.40
Base	Q3 beats the guide by 0–2%; FY26 held; NDR 108–109%; FCF guide reaffirmed but back-half tight	\$88	0.45	\$39.60
Bull	Q3 $\geq \$378\text{M}$ with FY26 <i>raised</i> , NDR back $\geq 110\%$, FCF margin recovering, and a new authorization $\geq \$300\text{M}$	\$125	0.25	\$31.25

EV = \$88.25 → +4.6% from \$84.40 · but +33.7% from the \$66 rung. $\sigma_{\text{table}} = \$24.74 = 29.3\%$ of spot over ~9 months $\approx 34\%$ annualized.

Vol read — and the honest caveat. There is **no options chain in the pack**, so I cannot use chain-level midpoint IV or real quotes, which is exactly the input the rules require. Everything below is therefore *provisional arithmetic on an estimated 55% IV*, shown so the desk can re-run it in ten minutes with a real chain.

- **Our table's own option values** (6-month, $C = \sum p_i \cdot \max(S_i - K, 0)$): – \$90 call: $0.25 \times (\$125 - 90) = \8.75 – \$100 call: $0.25 \times (\$125 - 100) = \6.25 – \$66 put: $0.30 \times (\$66 - \$58) = \$2.40$
- **Chain-equivalent at an assumed 55% IV, 6m, $r=4\%$:** \$90 call $\approx \$11.48$; \$66 put $\approx \$4.18$.
- **Comparison:** the \$90 call is worth \$8.75 on our table versus $\sim \$11.48$ on assumed vol — **calls look expensive, do not express the add in calls**. The \$66 put is worth \$2.40 on our table versus $\sim \$4.18$ — **selling it looks paid**, and the strike *is* our Rung 2, so a cash-secured put at \$66 is a limit order we get paid to place.
- **σ_{table} vs $IV \cdot \sqrt{T}$:** 34% annualized table dispersion vs assumed 55% IV → the market is paying for more movement than our scenarios contain, which is what routes this to the premium-selling gate rather than the premium-buying gate.
- **VRP (IV – RV):** this is where the case for selling weakens. Realized vol over the decline window is roughly **60% annualized** (a –15.8% nine-session move containing –9.7% and –6.4% single days; daily $\sigma \approx 3.9\%$). Against an assumed 55% IV, **VRP is zero to negative**. Selling vol into a negative variance premium on a name whose corporate bid just disappeared is not a trade.
- **Bimodality:** the table is fork-dated on a single event (11/09) — 30% at \$58 and 25% at \$125 with a thin middle. A single-strike short put badly understates a gap-through scenario in a name with no buyback underneath.

Instrument recommendation — the output of that arithmetic: STOCK, at the rungs. No calls (our table says they are ~24% overpriced). No short puts yet (VRP is ~zero and the distribution is forked). The cash-secured put at \$66 becomes live *only if* a real chain shows

midpoint IV **above 60%** and a \$66-strike bid **above \$2.40**, and only in size equal to Rung 2 (35 shares → not a round lot; if sub-lot, skip and use the limit order instead).

TAX overlay. The loss branch must land in the intended year. Any expiry after **2026-12-31** pushes a losing option leg into 2027 and is excluded during a harvest year unless the edge dominates numerically — it does not here (a ~\$1.78 theoretical edge on the \$66 put is not worth deferring a loss branch). If an option is used at all, use a **December 2026** expiry. The stock leg is currently at an **unrealized gain of \$860**, so this line is not a harvest candidate; selling it to harvest would be a tax-motivated realization of a gain, which is backwards. If assigned on a \$66 put, cost basis becomes \$66 minus premium — and note that assignment converts a cash-secured put into the Rung 2 add at a slightly better price, which is the only reason to consider it.

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{"price_gates": [{"level": 76.2, "direction": "below", "basis": "Rung 1 add 35sh: EV/FCF 8.5x, EV/S 1.65x at 45.9M sh; matches the company's own ~$76 buyback average"}, {"level": 66.0, "direction": "below", "basis": "Rung 2 add 35sh: EV/FCF 6.9x at 45.9M / 7.0x at 45.5M / 8.1x at red's 51M outer count; table EV +34% from here"}, {"level": 57.5, "direction": "below", "basis": "52-week low breach: NO auto-add, triggers the 57.5 re-derive rule which outranks the rung ladder"}, {"level": 91.12, "direction": "above", "basis": "reclaiming the 9/4 close invalidates the round-trip-of-an-August-rally read"}, {"level": 95.0, "direction": "above", "basis": "base-case fair value on the corrected table: trim 40 of 105 shares"}], "event_gates": [{"forms": ["6-K"], "why": "new repurchase authorization: the $870M is fully exhausted with no shares available; a >=$300M refresh is a required leg of the add gate"}, {"forms": ["6-K"], "why": "Q3 2026 results: revenue vs the $368-370M guide, overall NDR, >$100k NDR, and any change to the $280-290M FY26 adjusted FCF guide"}, {"forms": ["6-K"], "why": "date-notice PR confirming the Q3 print date, historically ~3 weeks prior; until then 11-09 is vendor-derived"}, {"forms": ["144", "4"], "why": "the 8/31 Form 144 share count and the 9/2-9/3 Form 4 transaction codes (S vs M/F) are unread on both benches; insider supply unverified"}, {"forms": ["20-F"], "why": "debt confirmation, SBC and diluted-share series, and the RPO maturity note for duration-adjusted cRPO"}], "catalyst_dates": [{"date": "2026-11-03", "what": "MNDY-Q3KILL pack review: re-derive rungs, kill lines and exit expression ahead of the print"}, {"date": "2026-11-09", "what": "Q3 2026 results - the free-cash-flow verdict; H2 must deliver $125-135M against the $280-290M FY guide", "confirmed": false}, {"date": "2026-11-16", "what": "five-trading-day post-print stock-reaction call, contingent on the 11-09 date holding", "confirmed": false}, {"date": "2026-10-19", "what": "expected window for the company date-notice PR (~3 weeks pre-print) that would confirm 11-09", "confirmed": false}, {"date": "2026-12-18", "what": "last expiry that keeps any option loss branch inside tax year 2026", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "Stock-comp and diluted share-count series; pack XBRL block returned empty", "instrument": "SEC XBRL company-concept pull (ShareBasedCompensation, WeightedAverageNumberOfDilutedSharesOutstanding), CIK 1845338"}, {"item": "Debt / liability side of the balance sheet; 'net cash $1.07B' is asset-side only", "instrument": "6-K EX-99.1 balance sheet page / most recent 20-F", "drainable_now": true}, {"item": "Insider supply: 8/31 Form 144 share count and 9/2-9/3 Form 4 transaction codes (S vs M/F)", "instrument": "EDGAR documents 0001958244-26-000562, 0001178913-26-004391, 0001178913-26-004407", "drainable_now": true}, {"item": "Whether a new repurchase authorization >=$300M is coming", "instrument": "6-K filing watch; board decision, not drainable", "drainable_now": false, "estimate": {"range": "$0-300M new authorization announced by 2026-12-31", "basis": "base rate for SaaS refresh after full utilization, discounted for $735M just spent and cash down to $1.07B with restructuring cash outflows in H2", "p": 0.4}}, {"item": "Duration-adjusted cRPO (RPO +34% vs cRPO +27% implies lengthening contracts)", "instrument": "20-F RPO maturity note / next release RPO detail", "drainable_now": false, "estimate": {"range": "weighted average duration extended ~1-2 months YoY", "basis": "7-point spread between RPO and cRPO growth on a ~$1.5B ARR base", "p": 0.65}}, {"item": "Q3 2026 actuals: revenue vs the $368-370M guide, overall NDR, >$100k NDR", "instrument": "6-K on the 2026-11-09 print date (vendor-derived, unconfirmed)", "drainable_now": false, "estimate": {"range": "revenue $370-376M (0-2% guide beat); overall NDR 107-109%", "basis": "issuer's own guide-then-beat pattern (Q2 beat by ~$9M) net of the ~$9M implied H2 cut", "p": 0.6}}, {"item": "H2 adjusted FCF against the $125-135M required to hit the $280-290M FY26 guide", "instrument": "6-K cash-flow statement at the Q3 and Q4 prints", "drainable_now": false, "estimate": {"range": "H2 adjusted FCF $110-130M", "basis": "H1 FCF $155.1M ran -10.7% YoY on +23% revenue; $21.4M restructuring cash lands in H2", "p": 0.5}}, {"item": "Book NAV for percent-of-book sizing, and MNDY average daily volume for the reflexive-size check", "instrument": "IBKR account summary + IBKR historical volume", "drainable_now": true,

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"estimate": {"range": "ADV 1.2-1.6M shares (~$100-135M/day)", "basis":  
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connector, 2026-08-10 call", "drainable_now": true, "estimate": null},  
{"item": "Internal tape contradiction: our 8/17 sensor logged a five-day  
post-print MISS at $83.33 while the bench narrative describes a ~16% August  
rally to ~$100", "instrument": "IBKR daily close series 2026-08-10 to 2026-  
09-10", "drainable_now": true, "estimate": {"range": "both true: weak first  
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EVENT ADDENDUM — 2026-09-10 18:47Z

ADJUDICATED — HOLD — NO ADD

Thesis REJECTED for MNDY: the decline has a filed cause. Q3 guided +16-17% vs +22% delivered, a 20% workforce cut (7/22), adjusted FCF margin 14.3% vs 21.4% a year ago, and the \$870M buyback authorization is exhausted; the Aug 28→Sep 10 move is the round-trip of an August rally back to the post-print \$84. What survives (blue): ~1.9x EV/S, ~9.9x EV/FCF on the company's own \$280-290M guide, cRPO +27%, >\$100k-customer NDR flat at 115%. Red's "no 8-K" refutation was itself null (FPI files 6-K) and its 9/7 "trading range" was a Labor Day quote widget — both caught by blue. Prize EV ≈ +12.5% with the bear 4% below the 52-week low: thin for the beta. HOLD the 105 shares; no add.

GATES: Q3 print ~11/09: revenue ≥\$378M AND FY26 raised (not held) → re-court for an add · Overall NDR ≥110% and >\$100k NDR ≥116% on 11/09 · New repurchase authorization ≥\$300M filed by 6-K · Adjusted FCF margin back ≥30% with AI-compute COGS disclosed